

executives of our giant corporations and the enormous compensation paid to hedge fund managers (often whether they win or lose, or even survive), and to the nonmutuality, if you will, of so much of our civic life. In fact, the differences verge on the appalling.

The Impartial Spectator

As much as Benjamin Franklin is the personal embodiment of the Age of Reason, his eighteenth-century contemporary, Adam Smith (17 years Franklin's junior), is surely the intellectual embodiment of how economies work. Smith's analogy of the invisible hand and how it moves the economy, described in *The Wealth of Nations*, remains an important element of economic philosophy to this day.

As Smith wrote:

Every individual intends only his own security; by directing his industry in such a manner as to produce its greatest value, he intends only his own gain but is led by an invisible hand to promote an end which was no part of his intention . . . promoting the interests of the society more effectively than when he really intends to promote it.

The invisible hand remains almost universally known to this day. But in our time, Smith's "impartial spectator," which first appears in his earlier *Theory of Moral Sentiments*, is today almost universally unknown. Yet the impartial spectator uncannily echoes the values by which Franklin lived.

That impartial spectator, Smith tells us, is the force that arouses in us values that are so often generous and noble. It is the inner man, shaped by the society in which he exists—even the soul—who gives us our highest calling. In Smith's words, "It is reason, principle, conscience, the inhabitant of the breast, the man within, the great judge and arbiter of our conduct."